In view of the fact that the farm-loan system was a new and untried undertaking, investors therein should have assured themselves of the largest possible measure of protection. Those who in their eagerness for the extra $^1/_2$% of income return dispensed with the joint guarantee committed a patent mistake of judgment.[14]

[14] A number of the Joint Stock bond issues defaulted during 1930–1932, a large proportion sold at receivership prices, and all of them declined to a speculative price level. On the other hand, not only were there no defaults among the Federal Land Bank bonds, but their prices suffered a relatively moderate shrinkage, remaining consistently on an investment level. This much more satisfactory experience of the investor in the Federal Land Bank bonds was due in good part to the additional capital subscribed by the United States government to these Banks, and to the closer supervision to which they were subjected, but the joint and several guarantee undoubtedly proved of considerable benefit.

Note also that Joint Stock Land Bank bonds were made legal investments for trust funds in many states, and remained so after 1932 despite their undoubtedly inadequate security. Since May 1933 the Joint Stock Land Banks have been prohibited from taking on new business, and orderly liquidation has been in process.